

Chapter # 09



Preparation of Financial Statements

Question # 01:

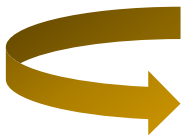
The following trial balance was extracted from the books of Ahmad Limited at 31.12.20, the end of his most recent financial year.

Additional information:

- Stock on 31.12.20 was Rs. 6,000
- Electricity expense accrued at 31.12.20 amounting Rs. 1,500
- Rent expense Prepaid at 31.12.20 Rs. 2,000
- Rental income includes Rs. 3,000 for an annual contract expiring on 30th April 2021.
- The carriage in Trial balance includes;
Carriage inward: 1,500
Carriage outward: Rs: 2,000
- It was decided to write off the debts amounting Rs. 10,000. Ahmad & Co has a policy to calculate allowance @10% of Year-end receivables.
- Ahmad depreciates its Furniture & Fixture @10% of Cost under Straight-line method.

Required:

Prepare Statement of Comprehensive income for Year ended 31.12.20 and Statement of Financial Position as on 31.12.20.



Trial Balance as on 31.12.20	Debit (Rs.)	Credit (Rs.)
Furniture & Fixture	100,000	
Accumulated depreciation-Furniture		10,000
Capital		25,000
Bank	6,000	
Inventory (01.01.20)	20,000	
Drawings	5,000	
Allowance for Bad & doubtful debt		3,000
Purchases	70,000	
Sales		186,000
Sales Return (Return inwards)	7,000	
Purchase Return (Return outwards)		5,000
Discounts	500	1,000
Wages	3,000	
Rent Expense	12,000	
Advertisement	4,000	
Carriage	3,500	
Electricity	6,500	
Bank Charges	10,000	
Long-term Loan		45,000
Short-term Loan		5,000
Bad debt expense	1,500	
Debtor	90,000	
Creditor		60,000
Advance to supplier	7,000	
Rental Income		6,000
	346,000	346,000

Chapter # 09



Preparation of Financial Statements

Question # 02:

Following is Naveed Limited's Trial Balance as on 31.12.22

Additional information:

- Closing Stock as per physical count was Rs. 150,000. Some items included in above stock costing Rs. 40,000 was damaged due to mis-handling and can be sold only for Rs. 28,000 after remedial work of Rs. 3,600.
- Postage expense accrued on 31.12.22 as Rs. 20,000.
- Insurance expense include annual payment of fire insurance for shop and personal expense of Naveed amounting Rs. 40,000 and Rs. 15,000, respectively. Insurance policy would expire on 31 March 2023.
- One of Naveed's debtor named as Babloo has outstanding debt of Rs. 20,000. Naveed estimated that only 20% could be recovered from him. Moreover, Naveed calculates General Allowance @ 10% of year-ended receivables.
- The above balances of Fixed Assets are Opening balances.
- Naveed bought another Plant on 01.04.22 costing Rs. 30,000. Depreciation rate is 15% under straight-line.
- Another Vehicle was purchased on 01.09.22 costing Rs. 60,000. Depreciation rate for Vehicle is 10% under reducing-balance method.
- Credit sales made to Mr. A amounting Rs. 10,000 but no entry was recorded regarding it.

Required: Income Statement & Balance Sheet

Trial Balance as on 31.12.22	Debit (Rs.)	Credit (Rs.)
Plant	100,000	20,000
Vehicle	140,000	40,000
Inventory (01.01.22)	200,000	
Capital		90,000
Bank	60,000	
Drawings	20,000	
Allowance for doubtful debt		30,000
Insurance expense	55,000	
Purchase & Sales	120,000	400,000
Bad debt expense	15,000	
Postage expense	40,000	
Long term loan @ 10%		200,000
Rental income		50,000
Trade receivables and payables	80,000	50,000
Interest expense	15,000	
Advances	10,000	20,000
Delivery charges	30,000	
Return inwards and Return outwards	20,000	40,000
Discounts	5,000	10,000
Free samples	40,000	
	950,000	950,000

Chapter # 09



Preparation of Financial Statements

Question # 03:

Following is Abdullah Limited’s Trial Balance as on 30.06.22

Additional information:

- Closing Stock of Inventory amounted to Rs. 30,000
- On 01.01.22, Abdullah decided to bring one of his cars into the business costing Rs. 100,000 for which no entry has been recorded yet.
- Depreciation method for Vehicles is Straight line method @10% of cost
- Heat & light expense includes Rs. 40,000 relating to Cost of equipment which was expensed out ignorantly.
- Advances in Trial include 40% payment made for Purchase of Equipment on 01.11.21, not recorded Yet.
- Depreciation rate for all Equipment is 15% under Reducing balance method.
- Rent includes payment of annual rent of Rs. 20,000 expiring on 30 March 22 for Owner’s residence. Moreover, Incurred Rent is Rs. 150,000.
- 40% of Long-term Loan repaid on 01.01.22 through cheque. Interest expense paid Rs. 18,000 in cheque
- Bad debt recovered during the Year amounted to Rs. 5,000 which was received in Cheque, not recorded Yet
- It is decided that Bad debt expense of Rs. 20,000 needs to be written off and that allowance would be increased by Rs. 10,000.

Required: Income Statement and Balance sheet

Trial Balance as on 30.06.22	Debit	Credit
	(Rs. in “000”)	(Rs. in “000”)
Capital (01.07.21)		300
Equipment (01.07.21)	100	20
Purchase and Revenue	120	530
Returns	20	10
Discounts	10	5
Current Bank account	250	
Inventory (01.07.21)	50	
Trade Receivables and Payables	190	100
Bank Deposit account	600	
Loan @15% (01.07.21)		400
Interest received on deposit		75
Wages	60	
Carriage outward	80	
Allowance for doubtful debt		30
Heat and Light	90	
Rent expense	120	
Drawings	40	
Bad debt expense	20	
Advances	50	30
Short-term Loan		300
	1,800	1,800

Chapter # 09



Preparation of Financial Statements

Q # 04: Following is Rainbow Lights Trial Balance as on 31.12.16

- RL uses perpetual inventory method to record its inventory. During the physical inventory count carried out on 31 December 2016, following matters were noted:
 - (a) Inventory shortages amounted to Rs. 2 million which is considered to be normal.
 - (b) Goods costing Rs. 15 million were damaged in fire and have no sales value.
 - (c) Goods costing Rs. 1 million were withdrawn by the owner for his personal use but no adjustment was made in the books.
 - (d) Goods sold on credit for Rs. 7 million were returned but have not been accounted for. These goods were sold at cost plus 40%.
- Goods sold on credit at a trade discount of 5% were recorded at gross amount of Rs. 20 million.
- Rs. 2 million were recovered in full and final settlement of an old outstanding balance of Rs. 3 million which had been written-off last year. The amount recovered was credited to trade debtors account. RL maintains a allowance for doubtful debts at 3% of the year-end balance.
- Miscellaneous income includes Rs. 12 million received against an annual maintenance contract expiring on 30 April 2017.
- Annual rent amounting to Rs. 24 million was paid in advance on 1 October 2016 and charged as an expense.
- An equipment costing Rs. 8 million was purchased on 1 September 2016 against advance payment. There was no entry of buying the equipment. Depreciation on fixed assets is charged at 15% per annum from the month of addition to the month prior to disposal using reducing balance method. **Required: Prepare Income Statement and Balance sheet.**

Trial Balance as on 31.12.16	Debit	Credit
	(Rs. in “million”)	(Rs. in “million”)
Capital (01.01.16)		120
Drawings	80	
Fixed assets-Cost	270	
Accumulated Depreciation		150
Closing inventory	170	
Trade debtors	400	
Allowance for doubtful debts		12
Advances	45	
Cash and bank	20	
10% Long-term loan		120
Trade creditors		240
Accruals and other payables		28
Sales		750
Cost of sales	304	
Admin expenses	146	
Bad debt expense	20	
Financial charges	10	
Miscellaneous income		45
	1,465	1,465

Chapter # 09



Preparation of Financial Statements

- (i) While carrying out the physical inventory count at year-end, following matters were identified:
 - Goods costing Rs. 1,000,000 were slightly defective. These can be sold for Rs. 1,130,000 after incurring a cost of Rs. 200,000.
 - Goods costing Rs. 670,000 purchased on credit were returned to a supplier on 28 December 2017 but the return was not recorded in the books.
- (ii) A machine costing Rs. 450,000 was received on 1 October 2017 against 100% advance payment. The advance has not yet been adjusted due to non-receipt of the invoice.
- (iii) On 1 October 2017, 50% advance received for an annual maintenance contract of Rs. 480,000 was credited to miscellaneous income. Remaining amount would be received at the end of the contract. Services are rendered evenly throughout the contract period.
- (iv) Maintenance services for Rs. 150,000 were rendered in December 2017 but income has been recorded in January 2018 on receipt of the amount.

Tulip Enterprises Trial as on 31.12.17	Debit		Credit
	Rs. in “000”		Rs. in “000”
Cash and bank balances	2,320	Trade payables	3,250
Trade receivables	4,400	Accruals and other payables	1,320
Stock-in-trade 31-12-2017	3,900	Allowance for doubtful debts	220
Prepayments	1,240	Accumulated depreciation	4,630
Property, plant & equipment – cost	12,500	12% Long-term loan	5,150
Drawings	490	Capital	6,000
Cost of sales	23,580	Sales	35,230
Salaries and wages	2,610	Miscellaneous income	940
Fuel and power	450		
Bad debt expense	230		
Rent and insurance	2,900		
Repair and maintenance	920		
Financial charges	700		
Advances	500		
	56,740		56,740

- (v) Interest on the loan is paid in arrears on 1 April and 1 October each year. Interest accrued for the quarter ended 31 December 2017 has not been recorded.

- (vi) Rent and insurance include:
 - annual insurance premium of Rs. 800,000 for the health policy arranged by TE for the department heads and the owner’s family members. Premium pertaining to the owner’s family members is Rs. 200,000. The policy is valid up to 30 June 2018.
 - Rs. 1,200,000 paid against the annual rent agreement expiring on 31 August 2018.

- (vii) TE maintains allowance for doubtful receivables according to the age analysis of the outstanding balances. Relevant details are as under:

- (viii) TE depreciates property, plant & equipment at 15% per annum on reducing balance method.

Required: Income Statement and Balance sheet

	Trade receivables as on 31.12.17				Total
	Less than 3 months	4-6 months	7-12 months	More than 1 year	
Outstanding balances					
(Rs. in '000)	1,970	1,000	900	530	4,400
Required provision	-	5%	10%	20%	

Chapter # 09



Preparation of Financial Statements

- Question # 06: Following is Alpha Limited’s Trial Balance as on 31.12.21**
- (i) During the physical inventory count carried out on 31.12.21, following matters were noted:
 - a) Inventory shortages amounted to Rs. 2 Million which was considered as expected.
 - b) Goods costing Rs. 3 Million were damaged due to mis handling and insurance company agreed to pay Rs. 2 Million for this loss.
 - c) Goods Sold on credit costing Rs. 8 Million were returned but have not been accounted for. These goods were sold on 10% margin.
 - (ii) Out of carriage expense, two-third was for delivery of goods to customer.
 - (iii) Loan raised of Rs. 100 Million on 01.07.20 and was repayable in five equal installments starting from 30.06.21. Interest of current Year is not yet accrued.
 - (iv) A debtor with outstanding balance of Rs. 500,000 was also appearing as a creditor with outstanding balance of Rs. 600,000 has shown consent of netting off.
 - (v) Expired portion of prepayments relating to rent expense till 31.12.21 was Rs. 2.4 Million.
 - (vi) Insurance expense include annual policy of office building Rs. 600,000 and owner house Rs. 1 Million. Both policies are valid till 31.03.22 and 30.06.22 respectively.
 - (vii) Miscellaneous Income include 50% advance of half yearly contract of Rs. 8 Million to be completed on 30.04.22.
 - (viii) A building was purchased on 01.07.21 against advance payment of Rs. 7 Million and remaining 30% was paid through Cash, not yet recorded.
 - (ix) A credit Purchase of Rs. 400,000 was only recorded in creditors Account.
 - (x) It is decided to take Provision at Year-end @ rate of 5%.

Required:
Statement of Comprehensive Income & Financial Position

Trial Balance as on 31.12.21	Debit	Credit
	(Rs. in ‘000’)	(Rs. in ‘000’)
Land	60,000	
Building	30,000	
Discount	2,000	
Allowance for doubtful debt		4,000
Carriage	4,500	
Loan @10%		80,000
Sales		65,000
Returns inwards	2,500	
Commission	1,200	
Bank OD		18,000
Cost of sales	16,000	
Inventory	5,000	
Debtors and Creditors	36,000	4,000
Capital		10,000
Prepayments	20,000	
Accruals and other payables		12,000
Advances	17,000	
Bank charges	1,000	
Interest	1,800	
Cash	20,000	
Miscellaneous Income		28,000
Insurance expense	3,600	
Suspense	400	
	221,000	221,000

Chapter # 09



Preparation of Financial Statements

Question # 07:

- Following is Beta Limited’s Trial Balance as on 30.06.17**
- (i) Closing stock as per Physical count was Rs. 150,000. Some items included in above stock costing Rs. 40,000 was damaged due to mishandling and can only be sold for Rs. 28,000 after remedial work of Rs. 3,600.
 - (ii) Rental income includes Rs. 9,000 which was received by the accountant from the customer of Owner's other Business Venture.
 - (iii) Closing Stock of Sale Supplies was Rs. 180,000 on 30.06.17.
 - (iv) Land Portion of property was 40% and Building is to be depreciated at 12.5% on WDV.
 - (v) Advances includes Rs. 42,000 paid for purchase of Land and this Land was acquired on 01.07.16 and Rs. 10,000 is still payable in this regard.
 - (vi) Loan's first installment of Rs. 65,000 is payable on 28.02.18 and rest will be paid on 31.12.20.
 - (vii) Expired amount of insurance for the current year is one tenth of opening prepayments.

Required: Prepare statement of comprehensive income for the year ended 30 June 2017 and statement of financial position as at 30 June 2017.

Trial Balance as on 30.06.17	Debit	Credit
	(Rs. in ‘000’)	(Rs. in ‘000’)
Cash	160,000	
Discount		5,000
Land and Building	200,000	
Allowance for doubtful debt		18,000
Carriage	4,000	
Travelling	8,000	
Salaries	18,000	
Stock (01.07.16)	28,000	
Purchases and sales	56,000	410,000
Returns inwards	2,000	
Rental Income		26,000
Selling commission	6,000	
Sales supplies	3,600	
Postage	1,200	
Accumulated depreciation		40,500
Debtor and creditors	165,000	95,000
Loan @ 15%		280,000
Bank OD		17,000
Advances	82,000	
Prepaid insurance	78,000	
Bank commission	6,500	
Interest	34,500	
Discount allowed	10,000	
Delivery charges	28,700	
	891,500	891,500

Chapter # 09



Preparation of Financial Statements

Question # 08:

The following trial balance was extracted from the books of Asghar Limited as on 31.12.18, the end of his most recent financial year.

Additional information:

1. Value of closing stock on 31st December, 2018 was Rs. 10,000.
2. Cash sale of Rs. 25,000 had been credited to the Purchase Account.
3. Salary of Rs. 2,000 of an employee had been entered in the Cash Book and salary a/c as Rs.1,000.
4. Depreciation on Furniture to be charged @ 10% WDV.
5. A sum of Rs. 10,000 received from a party having purchased some material belonging to separate business of the proprietor was credited to the Sundry Debtors Account.
6. Liability for outstanding rent amounted to Rs. 2,000.
7. An advance of Rs. 1,000 paid to an employee against the salary of January, 2019 had been debited to Salary Account.
8. The office premises were sublet from 1st December, 2018 for a monthly rent of Rs. 1,000 but the rent for December has not yet been received.

Required:

Prepare Statement of Comprehensive income for Year ended 31.12.18 and Statement of Financial Position as on 31.12.18.

Asghar Limited Trial as on 31.12.18	Rupees
Furniture & Fixture	20,000
Accumulated depreciation – furniture	5,000
Proprietor's Capital Account	54,000
Cash in Hand	3,000
Opening Stock	50,000
Fixed Deposits	134,600
Drawings	5,000
Allowance for Bad Debts	3,000
Cash in Bank	10,000
Purchases	300,000
Salaries	19,000
Carriage Inward	41,000
Insurance	6,000
Rent	22,000
Sundry Debtors	60,000
Sales	600,000
Advertisements	10,000
Postage & Telephone	3,400
Bad Debts	2,000
Printing & Stationery	9,000
General Charges	13,000
Sundry Creditors	40,000
Advance from Customers	6,000

Asghar Limited Trial as on 31.12.18	Debit	Credit
Furniture & Fixture	20,000	
Accumulated depreciation – furniture		5,000
Proprietor's Capital Account		54,000
Cash in Hand	3,000	
Opening Stock	50,000	
Fixed Deposits	134,600	
Drawings	5,000	
Provision for Bad Debts		3,000
Cash in Bank	10,000	
Purchases	300,000	
Salaries	19,000	
Carriage Inward	41,000	
Insurance	6,000	
Rent	22,000	
Sundry Debtors	60,000	
Sales		600,000
Advertisements	10,000	
Postage & Telephone	3,400	
Bad Debts	2,000	
Printing & Stationery	9,000	
General Charges	13,000	
Sundry Creditors		40,000
Advance from Customers		6,000
	708,000	708,000